



Oxford Handbook of Online Intermediary Liability

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CHAPTER

8 An Overview of the United States' Section 230 Internet Immunity

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Abstract

This chapter provides an overview of online intermediaries' immunities in the United States. In particular, it reviews 47 USC § 230, which says that websites and other online services are not liable for third party content. The chapter focuses on how this legal policy is simple and elegant, but is hardly intuitive, and it has had extraordinary consequences for the internet and our society. After reviewing pre-section 230 law and case law, the chapter discusses the moderator's dilemma and the introduction of section 230 in the United States. It then describes section 230's protections for the defendant, statutory exclusions, and implications for innovation, highlighting the positive externalities of section 230 and critical views of section 230's arrangement. Finally, the chapter discusses how section 230 compares to some foreign counterparts.

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47 USC § 230 says that websites and other online services are not liable for third party content. This legal policy is simple and elegant, but is hardly intuitive, and it has had extraordinary consequences for the internet and our society. This chapter provides an overview of section 230 and how it compares to some foreign counterparts.

1. Pre-Section 230 Law

Typically, liability for third party content attaches when the disseminator has the discretion to publish it or not. If a disseminator cannot exercise editorial control—such as telephone service providers functioning in their legal status as common carriers—the disseminator is not legally responsible for third party content it had to disseminate.¹ In contrast, if the disseminator can exercise editorial control over what to disseminate—such as traditional publishers—the disseminator accepts legal liability for the decisions it makes.² Thus, traditional publishers are usually liable for all content they, in their editorial discretion, choose to publish.

p. 156 With respect to third party content, many online intermediaries do not closely resemble either common carriers or traditional publishers. Unlike offline publishers, many online intermediaries do not have humans pre-screen online content before disseminating it. ↪ The volume of content often makes pre-screening too expensive or slow;³ and pre-screening is effectively impossible for real-time content like live-streamed video. At the same time, most online intermediaries are not legally defined as common carriers,⁴ and regulators expect them to routinely refuse services that support abusive, objectionable, or criminal outcomes.⁵

Given the ill-fitting paradigms, how should courts apply traditional editorial control/liability principles? Before Congress enacted section 230, two cases addressed this issue.

The first was *Cubby v CompuServe*, a 1991 case from the Southern District of New York. At the time, CompuServe provided its subscribers with dial-up access to its network plus content resources and databases that they could browse. CompuServe charged subscribers per minute they were online, and CompuServe could share a portion of those subscriber charges as licence fees to content publishers.

CompuServe had a licensing arrangement to carry a third party newsletter called *Rumorville*. *Rumorville* periodically uploaded its content electronically to CompuServe's servers. CompuServe employees did not pre-screen these uploads.

Perhaps not surprisingly (given its name), *Rumorville* was accused of defamation. The plaintiff sued CompuServe and others. The court dismissed CompuServe,⁶ holding that for defamation purposes, CompuServe acted as the 'distributor' of *Rumorville*, not as the publisher, and therefore could be liable only if it knew or had reason to know of the defamatory content. Due to *Rumorville*'s automated uploads, CompuServe lacked such scienter.

Though CompuServe won the ruling, the court's legal standard was not necessarily good news for other defendants. The ruling suggested that an online intermediary would be liable for third party content whenever it knew, or should have known, of the defamation. This created a notice-and-takedown standard for defamation, including 'heckler's vetoes' where aggrieved individuals can easily remove content by making unfounded allegations of defamation.⁷ *Cubby* also left unresolved what should happen with claims other than defamation or when humans pre-screen third party content before publication.

Nevertheless, the *Cubby* ruling provided some guidance to the nascent industry. Many online intermediaries chose to take a light-handed approach to moderating or removing third party content to position themselves, like CompuServe, as the relatively passive recipient of third party content.

p. 157 The second pre-section 230 ruling shook up that practice. The 1995 New York state court case of *Stratton Oakmont v Prodigy* involved the online message boards of Prodigy, a CompuServe competitor. A subscriber allegedly posted defamatory remarks about Stratton Oakmont, an investment bank subsequently depicted unfavourably in the movie *Wolf of Wall Street*.⁸ The investment bank sued Prodigy for \$100 million. The court held that Prodigy could be liable for the subscriber's defamatory message board posts because Prodigy had marketed itself as a family-friendly service and had taken steps to remove objectionable content from its

message board. The court said that collectively these efforts had turned Prodigy into a ‘publisher’ of the subscriber-supplied message board content and exposed it to liability.⁹

1.1 The Moderator’s Dilemma

In 1995, the United States experienced a techno-panic about children’s access to online pornography.¹⁰ Congress wanted and expected online intermediaries to aggressively screen out pornography and other objectionable content.¹¹ It would be counterproductive for the law to deter online intermediaries from taking these socially valuable steps.

Arguably, the *Stratton Oakmont* ruling did exactly that. According to *Stratton Oakmont*, endeavouring to remove objectionable content, but doing the job imperfectly, left the online intermediary legally exposed for everything it missed—with potentially business-ending legal exposure for each and every missed item.

This dynamic creates the ‘Moderator’s Dilemma’.¹² *Stratton Oakmont* drives online intermediaries to choose between:

- moderate or remove user content to promote a safe or family-friendly environment, but at the cost of accepting legal responsibility for anything it misses, which the service will manage by aggressively screening/removing third party content to mitigate that liability—or by eliminating third party content entirely; or
- do as little as possible to manage user content, in which case it can argue that it does not ‘know or have reason to know’ about any legally problematic content and possibly escape legal exposure for that content.

p. 158 The latter tactic is exactly what Congress did not want online intermediaries to do, because it would lead to more children being exposed to pornography online. However, following the *Cubby* and *Stratton Oakmont* cases, many online intermediaries were likely to prioritize risk mitigation and reduce their efforts to screen out objectionable content.

Section 230 eliminates the Moderator’s Dilemma. As the legislative history explains, section 230 was intended to overrule *Stratton Oakmont* ‘and any other similar decisions which have treated providers and users as publishers or speakers of content that is not their own because they have restricted access to objectionable material’.¹³

2. Section 230’s Protections for Defendants

Section 230(c)(1) says: ‘No provider or user of an interactive computer service shall be treated as the publisher or speaker of any information provided by another information content provider.’¹⁴ This translates into three *prima facie* elements of the immunity.

- (1) The immunity applies to a ‘provider or user of an interactive computer service’. The statutory definition of ‘interactive computer service’¹⁵ contemplates the operations of CompuServe, Prodigy, America Online, and other mid-1990 services that packaged dial-up internet/server access with access to proprietary content. However, courts have interpreted ‘providers’ expansively to include virtually any service available through the internet.¹⁶ Furthermore, ‘users’ of interactive computer services should, in theory, cover everyone who is a customer of a provider.¹⁷ This means, in practice, that everyone online should satisfy this first element.
- (2) The immunity applies to any claims that treat the defendant as a ‘publisher or speaker’. This standard makes sense in the context of defamation, where ‘publication’ is an express element of the plaintiff’s

prima facie case.¹⁸ However, courts usually read this element more broadly so that it applies regardless of whether the claim's prima facie elements contain the term 'publisher' or 'speaker'. Typically, courts find this element satisfied whenever the plaintiff seeks to hold the defendant responsible for third party content, regardless of which specific causes of action the plaintiff actually asserts, unless the claim fits into one of the statutory exceptions.¹⁹

- (3) The immunity applies when the plaintiff's claim is based on information 'provided by another information content provider'. This element seeks to divide the universe of content into first party and third party content, and defendants are immunized only for the latter. Sometimes, the division between first party and third party content is obvious. Employee-authored content normally qualifies as first party content;²⁰ user-submitted content normally qualifies as third party content. However, plaintiffs have deployed a vast array of legal theories—some more successful than others—to muddy the distinction and hold defendants liable for what is otherwise fairly obviously third party content.

A recap of these three prima facie elements: typically, section 230(c)(1) applies to anyone connected to the Internet for any claim (other than statutorily excluded claims) that is based on third party content. In other words, websites and online services are not liable for third party content.

Section 230(c)(1) says nothing about the defendant's scienter. As a result, a defendant can have scienter about problematic content—for example, they can 'know' that they are publishing tortious or illegal third party content—and still avoid liability for that content. For that reason, the section 230 jurisprudence has not been plagued by the same tendentious philosophical inquiries into what and when an online service 'knows' about user content that we have seen in the copyright context with the Digital Millennium Copyright Act's (DMCA) online safe harbour.²¹ Furthermore, section 230(c)(1) applies even if the defendant does human pre-screening or post-publication reviews of third party content. This means section 230(c)(1) is equally available to a service that exercises the same level of editorial control as a traditional publisher—or zero editorial control.

Thus, section 230 remarkably collapses the historical legal distinctions between traditional publishers and common carriers. Section 230(c)(1) says that online intermediaries can function like traditional publishers but receive the favourable legal treatment of common carriers. As you can imagine, this counterintuitive result frequently baffles plaintiffs and occasionally baffles judges.

Section 230(c)(1) provides substantial immunity for defendants, but it is also highly valued by defendants for its procedural benefits.²² Frequently, section 230(c)(1) defendants win on a motion to dismiss. In those situations, the case ends quickly and at relatively low cost, without expensive discovery, summary judgment motions, or trials. Furthermore, because of its broad scope, plaintiffs' attempts to work around section 230(c)(1) often does not work, so creative plaintiffs cannot artfully plead past a motion to dismiss. Contrast the quick and easy section 230(c)(1) dismissals with the often-arduous defence wins in section 512 cases.²³ The procedural benefits make a huge substantive difference to defendants.

Online intermediaries also can benefit from the section 230(c)(2) safe harbour. That provision protects the intermediary's good faith decisions to block or remove content the intermediary considers 'to be obscene, lewd, lascivious, filthy, excessively violent, harassing, or otherwise objectionable',²⁴ as well as the provision of blocking/filtering instructions (e.g. providing anti-spam or anti-spyware software).²⁵ Compared to section 230(c)(1), online intermediaries take advantage of section 230(c)(2) relatively rarely for several reasons.

- In the mid-2000s, courts emphatically held that section 230(c)(2) protected anti-spyware vendors.²⁶ This functionally eliminated lawsuits by software manufacturers who were aggrieved that their software had been classified as spyware.
- Otherwise, section 230(c)(2) applies to claims by a service's content uploaders who are unhappy that the service removed their content. In many cases, any particular content item will not be significant enough

for an aggrieved uploader to sue, but there are exceptions. For example, if a record label puts a lot of money behind marketing the URL of a YouTube video, and then YouTube removes the video, the marketing investments may be wasted.²⁷ However, these plaintiffs—the content uploaders—almost always agree to the service’s user agreement, which will contain many protective provisions such as termination for convenience, a disclaimer of any obligation to publish (or a reservation of the service’s unrestricted editorial discretion), limitations of liability, and more. Section 230(c)(2) could be a helpful complement to the contract protections,²⁸ but it is rarely essential.

- Unlike section 230(c)(1), section 230(c)(2) considers whether the defendant acted in ‘good faith’. Plaintiffs routinely allege bad faith removal or blocking by the defendant, even if the plaintiff does not actually have any evidence to back up the allegation. These unsupported allegations increase the odds that the case will survive a motion to dismiss and advance to discovery and summary judgment—an expensive and time-consuming proposition. If defendants can find a way to defeat the lawsuit on a motion to dismiss, section 230(c)(2)’s delayed resolution is not that helpful.

2.1 Section 230’s Statutory Exclusions

Section 230 has four statutory exclusions where it is categorically unavailable.

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- (1) ECPA/state law equivalents. Section 230 does not apply to plaintiffs’ claims based on the Electronic Communications Privacy Act or state law equivalents.²⁹ This exception is functionally a null set because it is almost impossible for a defendant to simultaneously violate the ECPA and qualify for section 230.
 - (2) Intellectual property (IP) claims. Section 230 does not apply to ‘intellectual property’ claims.³⁰ ‘Intellectual property’ is not defined in the statute, and this exception is more complicated than it might appear. In *Perfect 10 v CCBill*,³¹ the Ninth Circuit held that the exclusion only applied to *federal* IP claims, so section 230 pre-empted all *state* IP claims. State IP claims can include state trade mark claims, state copyright claims, trade secret claims, publicity right claims, and possibly others. Thus, in the Ninth Circuit, the *CCBill* precedent has been used numerous times in lawsuits predicated on third party state IP claims.³² Courts outside the Ninth Circuit do not agree with the *CCBill* ruling,³³ so state IP claims are still viable in those jurisdictions despite section 230. All courts agree that federal IP claims, such as federal copyright and federal trade mark claims, based on third party content are clearly excluded from section 230. However, Congress expressly said the Defend Trade Secrets Act (DTSA), the federal trade secret law, is not an IP law, so any DTSA claims based on third party content are immunized by section 230.³⁴
 - (3) Federal criminal prosecutions. Prosecutions of federal crimes are not immunized by section 230.³⁵ The US Department of Justice (DOJ) rarely pursues websites for third party content, but the exceptions are noteworthy. For example, in 2007, Google, Yahoo, and Microsoft paid a total of \$31.5 million to settle complaints about running illegal gambling ads.³⁶ In 2011, Google paid \$500 million to settle complaints about running ads for illegal pharmacies.³⁷ In the DOJ’s prosecution of the purported operator of the Silk Road marketplace for illegal items, Ross Ulbricht, got a lifetime sentence.³⁸ While federal criminal enforcement is excluded from section 230, civil claims based on federal criminal law are pre-empted to the extent they are predicated on third party content.³⁹ Similarly, except for FOSTA’s limited exceptions, state criminal prosecutions are pre-empted to the extent they are predicated on third party content.⁴⁰
 - (4) FOSTA. In 2018, Congress created several new exceptions to section 230 in the Fight Online Sex Trafficking Act (FOSTA). Those exceptions are beyond the scope of this chapter.⁴¹
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3. Section 230's Implications

Section 230 is an exceptionalist statute: it treats the internet differently than other media. Indeed, section 230 is the quintessential exceptionalist statute from the mid-1990s exceptionalism peak.⁴² To demonstrate section 230's exceptionalist nature, consider this example:

Scenario A: an author submits a 'letter to the editor' to her local newspaper. The letter contains defamatory statements. The newspaper publishes the letter in its 'dead trees' print edition. The newspaper will be equally liable for defamation with the letter author.⁴³

Scenario B: the same author submits the same letter to her local newspaper, but the local newspaper only publishes the letter in its online edition, not in its print edition. The author will still be liable, but section 230 protects the newspaper from liability.

It is counterintuitive that scenarios A and B produce different outcomes. The letter contains the exact same content, by the exact same author, disseminated by the exact same publisher, yet the liability results diverge. As the maxim goes, the medium matters.⁴⁴

p. 163 Section 230 can be characterized as a type of legal privilege. Section 230 'privileges' online publishers over offline publishers by giving online publishers more favourable legal protection. This leads to a financial privilege by reducing online publishers' pre-publication costs and post-publication financial exposure. These legal and financial ↳ privileges make sense in the 1990s context, where most major newspapers were de facto monopolies in their local communities⁴⁵ and many online publishers of third party content were small hobbyists.⁴⁶ But in the modern era, where internet giants like Google and Facebook are among the most highly valued companies in the world⁴⁷ and most newspapers are struggling to survive,⁴⁸ this allocation of privileges might seem even more counterintuitive.

However, focusing on section 230's benefit to the internet giants fundamentally misunderstands section 230's immunity. Section 230 allows companies to dial up or down their level of editorial control to reflect the needs of their community. Other services can adopt different editorial practices than Google or Facebook, so there can be a wider array of options for authors and readers. More importantly, new marketplace entrants do not need to make the same upfront investments into content moderation that Google and Facebook make. If new entrants had to develop industrial-grade content moderation procedures from day one, we would see far fewer new entrants. That makes section 230's benefit to Google and Facebook almost beside the point. Section 230's real payoff comes from keeping the door open for new entrants that compete with—and hope ultimately to dethrone—Google and Facebook.

Regulators often think curtailing section 230 will be a good way to hurt the internet giants like Google and Facebook, but they are completely mistaken. Google and Facebook can afford to accommodate new regulatory obligations in ways that new entrants cannot. Thus, reducing section 230's immunity *enhances* Google and Facebook's marketplace dominance by making it more difficult for new entrants to emerge and compete. Sometimes people say that 'the internet' no longer needs section 230's 1990s-style exceptionalist privilege,⁴⁹ but this makes sense only by equating 'the internet' with 'Google and Facebook'. Unless we are at the end of the innovation curve for new internet services based on third party content—and we are likely still closer to the beginning than to the end—section 230's immunity fosters and encourages the yet-to-be-born services that we will all benefit from.

p. 164 Another common complaint is that section 230 legally authorizes online intermediaries to do nothing about problematic content, which is what every profit-maximizing ↳ service will choose to do. Accordingly, the critics believe section 230 facilitates the creation of 'cyber cesspools',⁵⁰ that is, services that solicit, and profit from, anti-social content.

It is true that section 230 protects all services from liability for third party content, even services that do not moderate content and therefore become hotbeds of anti-social content. Despite this, many online intermediaries spend a lot of money on content moderation. Why?

As a practical matter, cyber cesspools tend to quickly fail in the market, despite section 230's protection. In the late 2000s, for example, gossip-focused services like JuicyCampus and People's Dirt generated substantial angst—until they failed.⁵¹ More recently, Yik Yak's anonymous local service garnered substantial criticism. It, too, is gone.⁵² It turns out that 'cyber cesspools' develop terrible reputations and become poor business investments. People will always keep trying to build them, but section 230 does not ensure their survival.

In contrast, any reputable service will invest in content moderation efforts as part of building trust with their users. These services will not just do the minimum.

More conceptually, section 230 critics often assume that reducing the immunity will reduce the total incidence of anti-social content, but this is almost certainly false. All legitimate online intermediaries voluntarily undertake socially valuable efforts to screen out anti-social content—just as the designers of section 230 had hoped they would. If amendments to section 230 reinstate the Moderator's Dilemma, some of those services will turn off or reduce their voluntary policing efforts, and we could counterintuitively see a net society-wide increase in anti-social behaviour due to the services that opt for the do-nothing approach.⁵³

Stated differently, even if some rogue services abuse section 230's immunity, section 230's immunity might still produce the lowest net level of anti-social content of any policy option.

There is another alternative: we could restore the offline publishers' liability rule to all online services and hold online services liable for all third party content they publish. This would likely force online services to pre-screen all third party content. This would dramatically reduce the level of anti-social content, but it also would eliminate many of the internet's best aspects.

p. 165 For example, imagine how Twitter might work with human-pre-screened tweets. If Twitter could even afford to stay in business due to the labour costs, all tweets would have a delay of minutes, hours, or longer. There might still be some social role for a time-delayed Twitter, but more likely it would lose most of its value. There are many other services we enjoy daily that would not make any sense financially or functionally if humans had to pre-screen each item of content, with a substantial time delay to publication.

Section 230 creates winners and losers, but so does every other policy alternative. Section 230 strikes a balance between promoting innovation and motivating industry players to voluntarily undertake socially valuable screening efforts. Its results are stunning: aided in large part by section 230, the internet has grown into an integral part of our society, companies have created trillions of dollars of economic wealth and millions of new jobs, and we have benefited from new services and content that never would have emerged with a different liability regime. Most people benefit from section 230-protected internet services on an hour-by-hour or even minute-by-minute basis.

4. Comparative Analysis

Section 230 is a globally unique policy solution. No other country has yet adopted anything so categorically favourable to intermediaries. However, NAFTA 2.0 (the US–Mexico–Canada Agreement (USMCA)), agreed to in 2018, requires Canada and Mexico to adopt section 230-like protections.⁵⁴ This creates the possibility that North America will move in a direction opposite to the rest of the world. This section contrasts section 230 with some examples of other jurisdictions' rules.

4.1 EU's 'Right to Be Forgotten'

In the 2014 *Costeja* case, the Court of Justice of the European Union (CJEU) concluded that 'the activity of a search engine consisting in finding information published or placed on the internet by third parties, indexing it automatically, storing it temporarily and, finally, making it available to internet users according to a particular order of preference' constituted 'the processing of personal data'.⁵⁵ This means search engines are required to comply with the 1995 European Data Privacy Directive (95/46/EC).

p. 166 Accordingly, search engines must 'remove from the list of results displayed following a search made on the basis of a person's name links to web pages, published by third parties and containing information relating to that person',⁵⁶ even if that information remains on the third party website, and even if the third party lawfully published the information.

The right of people to erase search results about them 'override[s] ... not only the economic interest of the operator of the search engine but also the interest of the general public in having access to that information upon a search relating to the data subject's name'.⁵⁷ However, the erasure right can be trumped by a 'preponderant interest of the general public in having, on account of its inclusion in the list of results, access to the information in question', such as the person's role 'in public life'.⁵⁸

The court's inscrutable language did not specify the exact grounds on which a person may request erasure of search results, putting the burden on search engines, and the data protection authorities who will hear complaints about the search engine's decisions, to figure it out. Google⁵⁹ decided it will remove links to 'irrelevant, outdated, or otherwise objectionable' information from search results for the individual's name; but Google will not de-index a search result if 'there's a public interest in the information', such as information 'about financial scams, professional malpractice, criminal convictions, or public conduct of government officials'.⁶⁰

A de-indexing request only affects results when the person's name is searched. Searches for other search keywords could still display those search results. Meanwhile, even if Google de-indexes the search result, the original source material will remain online. Thus, if an online newspaper article is subject to a de-indexing request, Google might remove the search result from the name search, but the original article is still available at the online newspaper.

Google's de-indexing standards—'irrelevant, outdated, or otherwise objectionable' content that is not 'in the public interest'—are obviously problematic. For example, if 99 per cent of searchers would find an information item irrelevant but 1 per cent of searchers would find it exceptionally relevant, what should Google do?

Similarly, how can Google determine when information is outdated, 'otherwise objectionable', or not in the public interest? Frequently, it is not obvious what information has historical significance, and information's historical significance might change over time. Something that appears irrelevant at one point in time might emerge as essential information at a different time.⁶¹

p. 167 The CJEU made it clear that it does not want search engines to rely on third party publishers' judgments of what is relevant or important. In *Costeja*'s case, he complained about an article referencing him that was published in a traditional newspaper. Normally we would assume a newspaper only publishes items of 'public interest' (at least to its audience). Yet, the CJEU said that level of public interest was not sufficient.

The CJEU ruling shocked many Americans because US law would not permit a similar result. As an online content publisher, Google is protected by the First Amendment's free speech and free press clauses.⁶² Thus, any regulatory mandate that Google include or exclude information in its search index is almost certainly unconstitutional.⁶³ Furthermore, section 230 (both (c)(1) and (c)(2)) statutorily immunize search engines for their indexing decisions, including their refusal to de-index content (even if that content is tortious).⁶⁴

Collectively, US law makes it clear that search engines, including Google.com, cannot be legally compelled to implement a right to be forgotten (RTBF).⁶⁵

4.2 EU Electronic Commerce Directive

In 2000, the EU enacted the Electronic Commerce Directive (Directive 2000/31/EC), including safe harbours for 'mere conduits' (Art. 12), caching (Art. 13), and hosting (Art. 14). The provisions parallel the DMCA online safe harbours, in part because the Directive was enacted shortly after the DMCA and modelled on it.

p. 168 Like the DMCA's section 512(c), the Directive's hosting safe harbour is built around a notice-and-takedown scheme. However, this provision differs from the section 512(c) hosting safe harbour in several key ways. First, the Directive requires EU Member States to enact a law consistent with the Directive, but Member States are not required to follow this provision identically. As a result, there are national differences in the Directive's enactment. Secondly, the Directive's hosting provision governs all claims related to user-generated content, not just copyright. Thus, the Directive's notice-and-takedown system applies to all claims asserted pursuant to all legal doctrines, including those that would be covered by section 230 in the United States. Thirdly, the Directive contemplates that hosts may be liable without ever receiving a takedown notice. In practice, courts in the EU find hosts liable in the absence of takedown notices more frequently than we see with section 512(c) cases. Fourthly, unlike section 512(c)(3), the Directive does not define what constitutes a proper takedown notice, so web hosts are more likely to take action in response to any notice submitted by anyone.

Section 230 provides dramatically more protection for web hosts in the United States than the Electronic Commerce Directive provides for European hosts. Accordingly, US user-generated content websites launching localized services for European users typically screen and remove third party content in Europe using more rigorous standards than they use in the United States—usually, blocking and removing content that would have been left untouched in the United States.

4.3 The UK Defamation Law

The UK Defamation Act 2013, section 5 says that web hosts are not liable for user-generated defamatory content until they have received a takedown notice that meets statutorily specified criteria. However, a web host cannot qualify for the safe harbour if it 'has acted with malice' towards the offending post, setting up potential fights about web host scienter pre-takedown notice.

For web hosts to qualify for this safe harbour, they must be able to identify the offending user with enough specificity to enable a lawsuit against the user. In effect, the law eliminates unattributable user content in the UK.⁶⁶ Any web host that wants to qualify for the safe harbour (and who would not?) must know enough about their users to turn them over to anyone who complains about their posts. The postings themselves can be publicly presented anonymously or pseudonymously, but users will know that their identity will be revealed effectively on request and that may act as a deterrent to posting. To the extent unattributed public discourse has value, the UK Defamation Act forecloses that possibility.

(Note also that the attributability of user-generated content only relates to a safe harbour for defamation, but plaintiffs with other types of claims can demand the poster's identity because the web host will have everyone's contact information on file.)

p. 169 Overall, the UK Defamation Act is worse for web hosts than section 230 in at least two main ways. First, section 230 does not require content removal upon a takedown notice. Secondly, section 230 applies even if the web host does not know who is doing the posting. Also, for authors, section 230 indirectly preserves their ability to write on an unattributed basis, which may encourage a more robust public discourse.

4.4 Germany's Network Enforcement Law (NetzDG)

In 2017, Germany enacted the Network Enforcement Act (Netzwerkdurchsetzungsgesetz, NetzDG). The law requires sites to maintain procedures to remove 'unlawful' user content, to remove 'manifestly unlawful' user content within twenty-four hours of getting complaints about it (and within seven days for merely 'unlawful' user content), and to make various public reports about content removals. The law imposes substantial fines of up to €50 million for non-compliance. The law nominally targeted social media platforms, but it applies to any online services with 2+ million registered users in Germany. 'Unlawful' content includes a wide range of content, including 'public incitement to crime', 'violation of intimate privacy by taking photographs', defamation, 'treasonous forgery', forming criminal or terrorist organizations, and 'dissemination of depictions of violence.'

The NetzDG supplements the EU Directive in important ways, all in ways that section 230 would forbid. First, it provides a specific turnaround time for takedowns. Secondly, it starts to creep into regulating the mechanics of a service's content moderation/removal operations. Thirdly, it requires the production of reports about complaints received and the service's responses, which may spur further regulatory oversight. Finally, the statute specifies penalties that can be punitive in practice, which surely will spur the regulated services to over-remove content.

4.5 Brazil's Internet Bill of Rights

In 2014, Brazil enacted an 'Internet Bill of Rights' (Marco Civil da Internet).⁶⁷ 'Providers of internet applications'—presumably including both websites and mobile apps—generally are not civilly liable for user-generated content until a court orders its removal. However, apparently copyright claims are not covered by the law; claims related to 'honor, reputation or personality rights' can be fast-tracked to a small claims court; and claims related to non-consensual pornography are subject to a notice-and-takedown regime.

By generally deferring intermediary liability until a court order, the Marco Civil more closely resembles section 230 than the European notice-and-takedown rules. Still, it does not go as far as section 230. For example, a court cannot order a US web host to remove user-generated content; any lawsuit directly against the web host is pre-empted by section 230, and a court order in any other lawsuit cannot reach the web host due to Federal Rules of Civil Procedure 65(d)(2).⁶⁸

4.6 Section 230 and Foreign Judgments

In 2010, Congress enacted the SPEECH Act.⁶⁹ Among other provisions, the law says that a foreign court judgment for defamation cannot be enforced in the United States if the result would have violated section 230 if litigated in a US court; and unsuccessful plaintiffs must pay the attorneys' fees of the section 230-immunized entity. Thus, even if foreign laws are less protective of web hosts or other intermediaries than section 230, a foreign court's defamation judgment will not work in US courts if it violates section 230.⁷⁰

5. What's Next for Section 230?

In 2018, Congress enacted FOSTA,⁷¹ its first significant reduction in section 230's protective immunity in twenty-two years. While FOSTA is bad policy,⁷² its passage has emboldened many of section 230's critics. Numerous victims' advocacy groups now hope that they too can get specific exceptions to section 230 for their situation; and other critics now believe that the immunity can be undermined more broadly. A wide range of anti-social content—including non-consensual pornography, opioid promotions, election interference, and terrorist-supplied content—have been identified as possible new section 230 exceptions.

Furthermore, a number of senators have prominently criticized section 230. For example, Senator Ted Cruz (R-TX) repeatedly (but completely falsely) claims that section 230 only applies to ‘neutral public forums’⁷³ and thus should not protect any service that removes conservative-leaning contributions. Separately, Senator Mark Warner (D-VA) wrote a white paper of policy proposals, including eviscerating section 230.⁷⁴ Conspicuously, amendments to section 230 may have bipartisan appeal in an era where partisanship ordinarily leads to gridlock.

Also, section 230 is inextricably linked to the widespread regulatory antipathy towards Google and Facebook. Each time those companies make highly visible missteps—which seems to be constantly—prevailing anti-section 230 views grow a little stronger.

Thus, section 230 appears to be quite imperilled. Yet, amid this doom and gloom, the USMCA embraced section 230, potentially extending section 230’s reach to make it a North American legal standard and limiting Congress’s ability to undermine it significantly. USMCA was the first time in over two decades that the expansion of internet immunity was included in any trade agreement; and the ‘exporting’ of section 230-like immunity to other countries would seem to represent a major endorsement of its policy outcomes.

So which way will section 230 go? Are we near the end of its functional life? Or are we on the cusp of more universally embracing it? The data points provide reason for both optimism and deep, deep pessimism about section 230’s future.

Notes

- 1 See e.g. *Restatement (Second) of Torts* s. 612 cmt. g (1977) (US).
- 2 See Rodney Smolla, 1 *Law of Defamation* (Thomson Reuters 2018) s. 4:87.
- 3 e.g. in 2015, YouTube got 400 hours of new uploaded video every minute. See Statista <<https://www.statista.com/statistics/259477/hours-of-video-uploaded-to-youtube-every-minute>>.
- 4 See e.g. *Religious Technology Center v Netcom On-Line Communication Services*, 907 F.Supp. 1361 (ND Cal. 1995) (US).
- 5 See Sen Ron Wyden, ‘The Consequences of Indecency’ (*TechCrunch*, 23 August 2018) <<https://techcrunch.com/2018/08/23/the-consequences-of-indecency>>.
- 6 See *Cubby Inc. v CompuServe Inc.*, 776 F.Supp. 135 (SDNY 1991) (US).
- 7 See *Zeran v America Online Inc.*, 129 F.3d 327 (4th Cir. 1997), cert. denied, 524 US 937 (1998) (US) (discussing the risks of hecklers’ vetoes for defamation).
- 8 See *The Wolf of Wall Street* (2013).
- 9 See *Stratton Oakmont Inc. v Prodigy Services Co.*, 1995 WL 323710 (NY Sup. Ct. 1995) (US).
- 10 See e.g. Philip Elmer-Dewitt, ‘Cyberporn’ (*Time*, 3 July 1995) <<http://content.time.com/time/magazine/article/0,9171,134361,00.html>>.
- 11 cf. 47 USC § 230(b)(4) (US) (‘It is the policy of the United States ... to remove disincentives for the development and utilization of blocking and filtering technologies that empower parents to restrict their children’s access to objectionable or inappropriate online material’).
- 12 See Eric Goldman, ‘Sex Trafficking Exceptions to Section 230’, Santa Clara U. Legal Studies Research Paper no. 13/2017 (2017) <<https://ssrn.com/abstract=3038632>>.
- 13 HR 104-458 (1996).
- 14 47 USC § 230(b)(4).
- 15 47 USC § 230(f)(2).
- 16 See Ian Ballon, 4 *E-Commerce & Internet Law* (2017 update) 37.05[2] (‘almost any networked computer would qualify as an interactive computer service, as would an access software provider’).
- 17 See *Barrett v Rosenthal*, 40 Cal. 4th 33 (2006) (US).
- 18 See Smolla (n. 2) s. 1:34.
- 19 See Ballon (n. 16) 37.05[1][C].
- 20 But see *Delfino v Agilent Technologies Inc.*, 145 Cal. App. 4th 790 (Cal. App. Ct. 2006) (US) (employer qualified for s. 230 immunity for employee activity).
- 21 See Eric Goldman, ‘How the DMCA’s Online Copyright Safe Harbor Failed’ (2015) 18 *Korea U. L. Rev.* 103.

- 22 See Eric Goldman, 'Why Section 230 Is Better Than the First Amendment' (2109) Notre Dame L. Rev. Online (forthcoming) <https://papers.ssrn.com/sol3/papers.cfm?abstract_id=3351323>.
- 23 See e.g. *UMG Recordings Inc. v Shelter Capital Partners LLC*, 667 F.3d 1022 (9th Cir. 2011) (US) (Veoh went bankrupt defending its eligibility for the safe harbour).
- 24 47 USC § 230(c)(2)(A).
- 25 *ibid.* § 230(c)(2)(B).
- 26 See e.g. *Zango Inc. v Kaspersky Lab Inc.*, 568 F.3d 1169 (9th Cir. 2009) (US).
- 27 See e.g. the YouTube 'remove-and-relocate' cases, including *Darnaa v Google LLC*, 2018 WL 6131133 (9th Cir. 2018) (US); *Kinney v YouTube LLC*, 2018 WL 5961898 (Cal. App. Ct. 2018) (US); *Song Fi v Google Inc.*, 2018 WL 2215836 (ND Cal. 2018) (US); *Bartholomew v YouTube LLC*, 17 Cal. App. 5th 1217 (Cal. App. Ct. 2017) (US); *Lancaster v Alphabet Inc.*, 2016 WL 3648608 (ND Cal. 2016); *Lewis v YouTube LLC*, 244 Cal. App. 4th 118 (Cal. App. Ct. 2015) (US).
- 28 See Eric Goldman, 'Online User Account Termination and 47 USC s230(c)(2)' (2012) 2 U. C. Irvine L. Rev. 659.
- 29 See 47 USC § 230(e)(4).
- 30 *ibid.* § 230(e)(2).
- 31 See *Perfect 10 Inc. v CCBill LLC*, 488 F.3d 1102 (9th Cir. 2007) (US).
- 32 See Ballon (n. 16) 37.05[5].
- 33 See e.g. *Atlantic Recording Corp. v Project Playlist Inc.*, 603 F.Supp.2d 690 (SDNY 2009) (US).
- 34 See Eric Goldman, 'The Defend Trade Secrets Act Isn't an Intellectual Property Law' (2017) 33 Santa Clara High Tech. L.J. 541.
- 35 See 47 USC § 230(e)(1).
- 36 See Corey Boles, 'U.S. Fines Google, Microsoft, Yahoo' (*Wall Street Journal*, 20 December 2007) <<https://www.wsj.com/articles/SB119809595072840253>>.
- 37 See 'Google Forfeits \$500 Million Generated by Online Ads & Prescription Drug Sales by Canadian Online Pharmacies' (US DOJ, 24 August 2011) <<https://www.justice.gov/opa/pr/google-forfeits-500-million-generated-online-ads-prescription-drug-sales-canadian-online>>.
- 38 See *US v Ulbricht*, 858 F.3d 71 (2d Cir. 2017) (US).
- 39 See *Doe v Bates*, 2006 WL 3813758 (ED Tex. 2006); *Jane Doe No. 1 v Backpage.com LLC*, 817 F.3d 12 (1st Cir. 2016) (US).
- 40 See Eric Goldman, 'The Implications of Excluding State Crimes from 47 U.S.C. s 230's Immunity', Santa Clara U. Legal Studies Research Paper no. 23/13 (2013) <<http://ssrn.com/abstract=2287622>>.
- 41 For an explanation of FOSTA and its effect on s. 230, see Eric Goldman, 'The Complicated Story of FOSTA and Section 230' (2019) 17 First Amendment L. Rev. 279.
- 42 See Eric Goldman, 'The Third Wave of Internet Exceptionalism' in Berin Szoka and Adam Marcus (eds), *The Next Digital Decade: Essays on the Future of the Internet* (TechFreedom 2011) 165.
- 43 See Smolla (n. 2) s. 3:87; *New York Times Co. v Sullivan*, 376 US 254 (1964).
- 44 cf. Marshall McLuhan, *Understanding Media: The Extensions of Man* (MIT Press 1964).
- 45 See e.g. Fed. Comm. Comm'n, *The Media Landscape* <<https://transition.fcc.gov/osp/inc-report/INOC-1-Newspapers.pdf>>.
- 46 Such as bulletin-board services (BBSes), which were often run as non-commercial or small enterprises. See Eric Schlachter, 'Cyberspace, the Free Market, and the Free Marketplace of Ideas: Recognizing Legal Differences in Computer Bulletin Board Functions' (1993) 16 Hastings Comm. & Ent. L.J. 87.
- 47 See e.g. Elvis Picardo, 'Eight of the World's Top Companies Are American' (*Investopedia*, 20 October 2018) <<https://www.investopedia.com/articles/active-trading/111115/why-all-worlds-top-10-companies-are-american.asp>>.
- 48 See e.g. Michael Barthel, 'Newspaper Fact Sheet' (*Journalist.com*, 13 June 2018) <<http://www.journalism.org/fact-sheet/newspapers>>.
- 49 See e.g. *Fair Housing Council of San Fernando Valley v Roommates.com LLC*, 521 F.3d 1157 fn. 15 (9th Cir. 2008) (US) ('The Internet is no longer a fragile new means of communication that could easily be smothered in the cradle by overzealous enforcement of laws and regulations applicable to brick-and-mortar businesses').
- 50 See e.g. Saul Levmore and Martha Nussbaum (eds), *The Offensive Internet: Speech, Privacy, and Reputation* (HUP 2012).
- 51 See Jeffrey Young, 'JuicyCampus Shuts Down, Blaming the Economy, Not the Controversy' (*Chronicle of Higher Education*, 5 February 2009) <<https://www.chronicle.com/article/JuicyCampus-Shuts-Down/1506>>; Donna St. George and Daniel de Vise, 'Slandorous Web Site Catering to Teens Is Shut Down' (*Washington Post*, 10 June 2009) <<http://www.washingtonpost.com/wp-dyn/content/article/2009/06/09/AR2009060903199.html>>.
- 52 See Valeriya Safronova, 'The Rise and Fall of Yik Yak, the Anonymous Messaging App' (*New York Times*, 27 May 2017) <<https://www.nytimes.com/2017/05/27/style/yik-yak-bullying-mary-washington.html>>.
- 53 See Eric Goldman, 'Balancing Section 230 and Anti-Sex Trafficking Initiatives', Santa Clara U. Legal Studies Research Paper no. 17/2017 (2017) <https://papers.ssrn.com/sol3/papers.cfm?abstract_id=3079193>.
- 54 See Eric Goldman, 'Good News! USMCA (a/k/a NAFTA 2.0) Embraces Section 230-Like Internet Immunity' (*Technology &*

Marketing Law Blog, 3 October 2018) <<https://blog.ericgoldman.org/archives/2018/10/good-news-usmca-a-k-a-nafta-2-0-embraces-section-230-like-internet-immunity.htm>>.

55 See C-131/12 *Google Spain SL and Google Inc. v Agencia Española de Protección de Datos and Mario Costeja González* [2014] ECLI:EU:C:2014:317, para. 21. See also Chapter 25.

56 *ibid.* para. 88.

57 *ibid.* para. 99.

58 *ibid.*

59 I focus on Google's responses because it lost the case and Google has a 90+ per cent market share in most European countries. Google also receives the vast bulk of de-indexing requests submitted to all search engines.

60 See European Privacy Requests Search Removals FAQs, Google, <<https://support.google.com/transparencyreport/answer/7347822?hl=en>>.

61 e.g. Justice Kavanaugh's Summer 1982 calendar (see <<https://www.pbs.org/newshour/politics/see-four-months-of-brett-kavanaughs-calendar-from-1982>>) appeared to be historically insignificant for decades—until it became a crucial piece of evidence in the Senate confirmation hearings for his appointment to the US Supreme Court.

62 See US Const. Amend. 1.

63 See e.g. *Search King Inc. v Google Technology Inc.*, 2003 WL 21464568 (WD Okla. 2003) (US); *Langdon v Google Inc.*, 474 F.Supp.2d 622 (D. Del. 2007) (US); *Zhang v Baidu.com Inc.*, 10 F.Supp.3d 433 (SDNY 2014) (US); *Google Inc. v Hood*, 96 F.Supp.3d 584 (SD Miss. 2015) (US) (vacated on other grounds); *e-ventures Worldwide v Google Inc.*, 2017 WL 2210029 (MD Fla. 2017) (US); Eugene Volokh and Donald Falk, 'First Amendment Protection For Search Engine Search Results' (20 April 2012) <https://papers.ssrn.com/sol3/papers.cfm?abstract_id=2055364>. See also *Martin v Hearst Corp.*, 777 F.3d 546 (2d Cir. 2015) (US) (publication cannot be obligated to remove article about an expunged arrest).

64 See e.g. *Maughan v Google Technology Inc.*, 143 Cal. App. 4th 1242 (Cal. App. Ct. 2006) (US); *Murawski v Pataki*, 514 F.Supp.2d 577 (SDNY 2007) (US); *Shah v MyLife.Com Inc.*, 2012 WL 4863696 (D. Or. 2012) (US); *Merritt v Lexis Nexis*, 2012 WL 6725882 (ED Mich. 2012) (US); *Nieman v Versuslaw Inc.*, 2012 WL 3201931 (CD Ill. 2012) (US); *Getachew v Google Inc.*, 491 Fed. Appx. 923 (10th Cir. 2012) (US); *Mmubango v Google Inc.*, 2013 WL 664231 (ED Pa. 2013) (US); *O'Kroy v Fastcase Inc.*, 831 F.3d 352 (6th Cir. 2016) (US); *Fakhrian v Google Inc.*, 2016 WL 1650705 (Cal. App. Ct. 2016) (US); *Despot v Baltimore Life Insurance Co.*, 2016 WL 4148085 (WD Pa. 2016) (US); *Manchanda v Google Inc.*, 2016 WL 6806250 (SDNY 2016) (US).

65 In 2013, California passed an 'online eraser' law that requires user-generated content websites to let minors remove posts they have made. See Cal. Bus. & Profs. Code § 22580-82. This law has not been subject to a constitutional challenge, but it may violate the websites' First Amendment interests. See Eric Goldman, 'California's New "Online Eraser" Law Should Be Erased' (*Forbes Tertium Quid Blog*, 24 September 2013) <<http://www.forbes.com/sites/ericgoldman/2013/09/24/californias-new-online-eraser-law-should-be-erased>>. Furthermore, in contrast to Europe's RTBF, California's law only applies to content posted by a minor; the statute explicitly says that the minor cannot remove any third party content.

66 See Eric Goldman, 'UK's New Defamation Law May Accelerate the Death of Anonymous User-Generated Content Internationally' (*Forbes Tertium Quid*, 9 May 2013) <<https://www.forbes.com/sites/ericgoldman/2013/05/09/uks-new-defamation-law-may-accelerate-the-death-of-anonymous-user-generated-content-internationally>>.

67 See Chapter 10.

68 See e.g. *Blockowicz v Williams*, 630 F.3d 563 (7th Cir. 2010) (US); *Giordano v Romeo*, 76 So.3d 1100 (Fla. Dist. App. Ct. 2011) (US). See also *Hassell v Bird*, 5 Cal. 5th 522 (2018) (US) (Yelp cannot be compelled to honour a removal injunction).

69 See 28 USC §§ 4101–5.

70 See e.g. *Trout Point Lodge Ltd v Handshoe*, 729 F.3d 481 (5th Cir. 2013) (US).

71 See Allow States and Victims to Fight Online Sex Trafficking Act of 2017, HR1865 (115th Cong. 2017–18) (US).

72 See Goldman (n. 41).

73 See Sen. Ted Cruz, 'Sen. Ted Cruz: Facebook Has Been Censoring or Suppressing Conservative Speech for Years' (*FoxNews.com*, 11 April 2018) <<https://www.foxnews.com/opinion/sen-ted-cruz-facebook-has-been-censoring-or-suppressing-conservative-speech-for-years>>.

74 See Sen. Mark Warner, 'Potential Policy Proposals for Regulation of Social Media and Technology Firms' (July 2018) <<https://assets.documentcloud.org/documents/4620765/PlatformPolicyPaper.pdf>>.